

Defining and Describing the Nonprofit Sector

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PMAP 3210 Chapter 1



The Nonprofit Sector

- The nonprofit sector consists of many types of organizations spanning several tax-code definitions
- There are 29 different types of 501(c) nonprofit, tax-exempt organizations in the IRS code, along with several others in 527. The most notable include:
 - 501(c)(3) Public Charities and Private Foundations
 - 501(c)(4) Social Welfare Organizations
 - 501(c)(6) Business Leagues and Trade Associations
 - 527 Political Parties and Campaigns

Defining Nonprofit Organizations

- As shown on the previous slide, many different types of organizations fall into the nonprofit sector.
- Most nonprofits have the following in common:
 - 1 Formal organization
 - 2 Private organizations (not government organizations or public organizations)
 - 3 Not profit seeking or distributing (IE does not retain earnings to be distributed through equity capital)
 - 4 Self-governance
 - 5 Voluntary organizations
 - 6 Operating for public or mutual benefits
- Do not confuse this with operating differently from businesses – successful nonprofit organizations are ran in quite similar ways to successful businesses

Classifying Nonprofit Organizations

- Nonprofits can be classified into two types of organizations:
- Public-Serving Organizations
 - Organizations providing direct services to the public
 - Examples include: charities, foundations, advocacy organizations, hospitals, etc.
 - Focused on the broader public
- Member-Serving Organizations
 - Organizations providing services and goods only to the members of the organization or on behalf of members
 - Examples include: fraternities and sororities, professional associations, sports clubs, HOAs, etc.
 - Focused exclusively on their members

Private Foundations vs Public Charities

- 501(c)(3) organizations consist of private foundations and public charities
- These organizations are similar in that they are both tax-exempt organizations whose contributions are tax-deductible (the only subsector of organization with deductible contributions)
- Public Charities:
 - Organization is publicly supported (defined by the IRS)
 - Income generally comes from several sources to meet this definition
- Private Foundations:
 - Income comes from one or a few sources
 - Must pay income taxes on investment income
 - Must give away at least 5% of their assets each year
- A 501(c)(3) organization is considered a foundation by default until proving the public support clause or are a: church, school, hospital / medical organization

Nonprofit Taxonomy

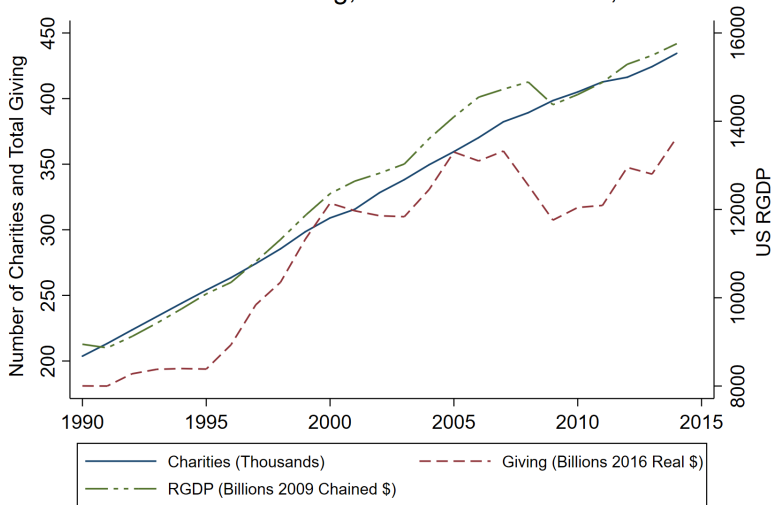
- Nonprofit organizations are broken down into sub-categories with National Taxonomy of Exempt Entities, or NTEE codes
- There are 26 major codes in the NTEE
- These codes can be unhelpful as they tend to group several organizations that are not related with one another together.
- A more useful, and extensive list is the NTEE-CC codes, which provides roughly 600 industry codes
- Additionally, a broader system of classification exists in the North America Industry Classification System (NAICS); however, this is less commonly used in analyzing the US nonprofit sector than NTEE-CC codes.

Size and Growth of the Nonprofit Sector

- The nonprofit sector has grown vastly in the past 20 years.
- According to the IRS, as of 2019, 1.718 million 501(c) organizations are in operation
 - This compares to 90K units of local government as of 2017 and 7.563 million private, for-profit businesses in 2014
- The sector accounts for 8/3% of wages and salaries in the US and 5.6% of US GDP

Nonprofit Sector Over Time

US Total Charitable Giving, Number of Charities, and RGDP



Differences Between For-Profits and Non-Profits

- 1 Distribution of output
- 2 Dissemination of information
- 3 Willingness of people to volunteer
- 4 Governance by a volunteer board of community members
- 5 Drive (mission vs profits)
- 6 Accountability (public vs stock-holders)
- 7 Value on the social collective vs individual
- 8 Dependence on donations and ability to be subsidized through grants

Boundaries of the Sector

- Nonprofits can morph in size and scope to look similar to major businesses
 - Examples include: Blue Cross/Blue Shield, Credit Unions, the AARP, and nonprofit hospital systems
- Several other organizations are heavily reliant on government grants, making them nearly indistinguishable from government organizations
- There is no limit to the growth of a nonprofit organization. They merely cannot retain earnings, use equity capital, or distribute dividends.

Issues in the Sector

- Tax avoidance
- Subversion of the public sector
- Reputation Laundering
 - Greenwashing
 - Pinkwashing
- Organizational reporting issues and donation misuse

Class Discussion Topics

- What are some nonprofit organizations that you know?
- What do those organizations do?
- How are they funded?
- Would this be a type of organization you would like to create a nonprofit portfolio on?